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(xiv) Income tax paid

As per the Indian Income Tax Act, 1961, business income of the sole proprietor is not assessed and taxed separately. It is the sole proprietor who is assessed to tax for his total income including the business income. Hence, income tax paid by the business is not a business expenditure and is treated as drawings.

Adjusting entry

Particulars		L.F.	Debit `	Credit `
Drawings A/c	Dr.		xxx	
To Bank A/c				xxx
(Income tax of the proprietor paid)				

Presentation in final accounts

Trading / Profit and loss account	Not shown.
In Balance Sheet	Shown as deduction from capital on the liabilities side. Shown as a deduction from bank balance on the assets side.

Example

Trial balance of Sibi as on 31st December, 2017 shows the capital as ` 1,05,000 and cash at bank as ` 80,000.

Adjustment: Income tax paid ` 15,000. The adjusting entry is:

Adjusting entry

Date	Particulars		L.F.	Debit `	Credit `
2017 Dec. 31	Drawings A/c	Dr.		15,000	
	To Bank A/c				15,000
	(Income tax paid)				

In final accounts, it is presented as follows:

Balance Sheet as on 31st December, 2017

Liabilities	`	`	Assets	`	`
Capital	1,05,000		Cash at bank	80,000	
Less: Drawings (income tax)	15,000	90,000	Less: Income tax	15,000	65,000